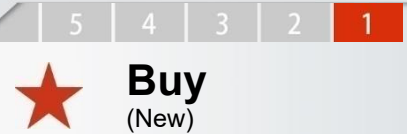


# Datadog (DDOG)

Target price : **\$190**Share price (26/1/23) : **\$130.13** | Up/downside : **+46.0%**
**Buy**  
 (New)

## Core observability ops to shine amid AI integration

- ◎ De facto standard in observability field in cloud-native era
- ◎ Usage-based model to benefit from steady inference processing
- ◎ See large longer-term upside, even assuming usage fluctuation

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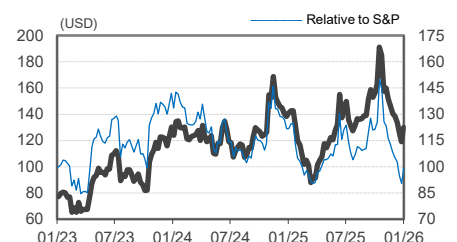
**What's new** : We initiate coverage on Datadog (DDOG). We have set our target price at \$190 based on a DCF model. **We assign a 1 (Buy) rating**, as our price objective implies upside of about 46.0% vs. the 23 January closing price of \$130.13.

**Key takeaways** : **Datadog is the de facto standard in the observability field in the competitive cloud-native era.** The firm has established itself by offering an observation platform that aids corporations in making decisions and taking action regarding their IT operations by integrating metrics, logs, and traces into a single platform. Amid meaningful use of AI software and agents becoming more widespread, it has become increasingly important to continuously monitor and analyze applications, infrastructure, and data pipelines that span multi-cloud environments. While corporations are in the process of fully implementing AI that operates autonomously and is directly linked to business performance, observability services have shown significant value as a means to support business operations, not merely a tool for assisting with development. **In an era of ongoing inference processing, these services are likely to see usage continue to increase, which should bode well for usage-based business models.** This was the case with the revenue expansion pattern observed in engagements with OpenAI, signaling that other AI software will likely enjoy similar growth going forward.

**Outlook** : We forecast revenue up 26% y/y and operating income up 12% in FY25, with respective gains of 22% and 30% in FY26. **Since the firm employs a usage-based business model, it may see some earnings volatility in the short term while corporations transition from the early stage of AI adoption to full-scale integration.** While we expect FY26 earnings growth to exceed initial guidance from FY25, our estimates are based on conservative assumptions that factor in short-term fluctuations in usage.

**What we recommend** : There is significant value in the ability to have a clear picture of operations as AI becomes more advanced. Datadog has designed a platform that allows users to monitor IT systems and their effect on operations in real time by integrating various telemetry data into a single platform. We expect **the firm to continue to be a front-runner in the field of observability during the AI era by providing a platform that simultaneously supports decision making by people and AI.** While the AI theme has been driven largely by shifting market expectations, we believe Datadog, a leading company in the field of observability, is entering a phase in which valuations may re-rate higher as AI moves into full-scale production deployment. We assign a 1 (Buy) rating.

## Share Price Chart



Source: Compiled by DCMA

## Market Data

|                               |              |
|-------------------------------|--------------|
| 12-month range (\$)           | 81.63-201.69 |
| Market cap (\$ mn ; 23 Jan)   | 45,633       |
| Shares outstanding (mn; 1/26) | 351          |

## Investment Indicators

|               | 12/24 | 12/25E | 12/26E |
|---------------|-------|--------|--------|
| P/E (X)       | 71.2  | 64.4   | 52.2   |
| EV/EBITDA (X) | 59.2  | 53.1   | 41.1   |
| PBR (X)       | 16.4  | -      | -      |
| ROE (%)       | 27.6  | 22.9   | 21.9   |

## Income Summary

| (\$ mn)      | 12/24 | 12/25E | 12/26E |
|--------------|-------|--------|--------|
| Revenue      | 2,684 | 3,390  | 4,125  |
| Gross profit | 2,201 | 2,748  | 3,344  |
| Op income    | 674   | 756    | 986    |
| Net income   | 654   | 731    | 912    |
| EBITDA       | 723   | 807    | 1,041  |
| EPS (\$)     | 1.83  | 2.02   | 2.49   |

See end of report for notes concerning indicators

E: DCMA estimates. Non-GAAP basis

**Notes concerning market data, investment indicators, and income summary**

- Results on page 1 based on LSEG and company disclosures; compiled by DCMA. Estimates by DCMA
- Net income is that attributable to shareholders of parent
- Shares outstanding: Common shares outstanding (excl. treasury stock).
- Market cap: Based on shares outstanding and closing price as of indicated date
- EV: Market cap + interest-bearing debt – liquidity on hand
- EBITDA: Operating profit + depreciation & amortization
- EV/EBITDA (estimate): Calculated from the most recently disclosed interest-bearing debt and liquidity on hand.
- ROE: Net income / average of start-FY and end-FY shareholders' equity
- Share price chart and per-share figures: retroactively adjusted to reflect stock splits/reverse stock splits

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Datadog, Inc. (DDOG US)



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| Distribution of Ratings/IB Services Firmwide |       |         |                       |         |
|----------------------------------------------|-------|---------|-----------------------|---------|
| DAIWA                                        |       |         |                       |         |
| Rating                                       | Count | Percent | IB Serv./Past 12 Mos. |         |
|                                              |       |         | Count                 | Percent |
| BUY[1/2]                                     | 64    | 59.81%  | 1                     | 1.56%   |
| HOLD[3]                                      | 43    | 40.19%  | 0                     | 0.00%   |
| SELL[4/5]                                    | 0     | 0.00%   | 0                     | 0.00%   |

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